

Manilal became intimately familiar with the gas station business, the margins on various items, the overheads, how much money the business made, and so on. By 1998, the Chaudharis' had bought a condo for his sister's family and another home in Foothill Ranch for \$169,000. They continued to live very simply. From the beginning, the four sibling families had agreed to put \$500 a month per family into a common savings account. This pool funded the initial down payment for their first home. For subsequent purchases, they also drew down on this pool. They all lived very simple lives and worked around the clock. As a result, there wasn't much free time to spend on entertainment. Manilal told me that they traveled a fair amount during the first two years, hitting the usual tourist spots. After that, they didn't have much interest in traveling and all of them worked long hours with a great deal of overtime. Even with very low wages, they were each socking away several thousand dollars a year.

In 1998, Manilal decided that he wanted to buy a small business with his extended family. He considered gas stations, liquor stores, laundromats, and such. His Texaco gas station employer supported his goals, but told him not to look at liquor stores due to the high crime and headaches. Some Patels suggested motels, but in Southern California these now cost millions. He kept looking for a business to buy, but was unable to find one that felt right. He was patient. In 2001, after 9/11, the travel industry went into a major slump and motel occupancy and prices declined significantly.

Cherokee had many Patel employees. One of them, Ashok Patel, was a vice president at the firm. He liked Manilal and told him he'd love to invest some money with him in a business that Manilal might run. After 9/11, Manilal came across a Best Western motel for sale in Moreno Valley for \$4.5 million. It was a spectacular property on nearly three acres right off the highway. They needed to put about \$1.4 million down to buy the property. Manilal and his siblings had all of \$225,000 in savings. They also had the ability to get about \$125,000 through home equity loans on their now appreciated homes.

The deal they struck was that the Chaudhuris would own 25 percent of the motel and put up \$350,000 in cash. Ashok Patel invested about \$252,000 and got an 18 percent interest. Three other friends of Manilal each